Contacts:

Michael Lin / David Wong
UMC, Investor Relations
+ 886-2-2658-9168, ext. 16900
jinhong_lin@umc.com
david_wong@umc.com

UMC Reports Third Quarter 2023 Results

12A P6 production ramp lifts 22/28nm revenue contribution to 32%
2023 Year to Date EPS totaled NT$3.87

Third Quarter 2023 Overview[1]:

- **Revenue: NT$57.07 billion (US$1.77 billion)**
- **Gross margin: 35.9%; Operating margin: 26.8%**
- **Revenue from 22/28nm: 32%**
- **Capacity utilization rate: 67%**
- **Net income attributable to shareholders of the parent: NT$15.97 billion (US$495 million)**
- **Earnings per share: NT$1.29; earnings per ADS: US$0.200**

Taipei, Taiwan, ROC – October 25, 2023 – United Microelectronics Corporation (NYSE: UMC; TWSE: 2303) ("UMC" or "The Company"), a leading global semiconductor foundry, today announced its consolidated operating results for the third quarter of 2023.

Third quarter consolidated revenue was NT$57.07 billion, increasing 1.4% QoQ from NT$56.30 billion in 2Q23. Compared to a year ago, 3Q23 revenue declined 24.3% YoY from NT$75.39 billion in 3Q22. Consolidated gross margin for 3Q23 was 35.9%. Net income attributable to the shareholders of the parent was NT$15.97 billion, with earnings per ordinary share of NT$1.29.

Jason Wang, co-president of UMC, said, "During the third quarter, despite a 2.3% decrease in wafer shipments, quarterly revenue and gross margin remained firm QoQ which primarily attributed to the demand strength in computing and communication segments, continuous product mix enhancement as well as favorable currency movement. From end markets perspective, strength in computing applications were propelled by LCD controller, WiFi, codec and touch IC controllers while shipments in communication segments increased due to demand for RF front

[1]Unless otherwise stated, all financial figures discussed in this announcement are prepared in accordance with TIFRSs recognized by Financial Supervisory Commission in the ROC, which is different from IFRSs issued by the International Accounting Standards Board. They represent comparisons among the three-month period ending September 30, 2023, the three-month period ending June 30, 2023, and the equivalent three-month period that ended September 30, 2022. For all 3Q23 results, New Taiwan Dollar (NT$) amounts have been converted into U.S. Dollars at the September 30, 2023 exchange rate of NT$ 32.26 per U.S. Dollar.

end IC and networking chips. Looking back at 2023, although foundry industry experienced a significant decline in market demand, UMC maintained solid structural profitability supported by firmness in blended ASP due to continuous product mix optimization efforts and the increasing contribution from specialty technologies. As UMC continues to introduce new specialty technologies to solidify our differentiation, we will strengthen the competitiveness of our customers and enhance their respective market position."

Co-president Wang said, "For the fourth quarter, with the recent rush orders from PC and smartphones, we expect demand has gradually stabilized. However, customers still employ a cautious and conservative approach in maintaining lean inventory levels while automotive business conditions appear challenging. For 2024, we anticipate the production ramp of our 12A Phase 6 fab will further enhance revenue contribution from 22/28nm continuing the robust business traction for UMC. In addition, through our technology leadership, we will ramp up our offering on 22nm derivative products which will further our specialty technology product pipeline."

Co-president Wang continued, "Talent is UMC's most important and highly valued asset. We respect the uniqueness of every employee and are committed to creating a diverse, equal, and inclusive workplace environment. Receiving the 'HR Asia' award for the 'Best Companies to Work for in Asia' in July is a recognition of our years of effort. Our goal is to create a culture of diversity and inclusivity in our workplace that enables employees to leverage their strengths, thereby playing a pivotal role in the Company's sustained growth and enduring success."

Summary of Operating Results

Operating Results					
(Amount: NT$ million)	3Q23	2Q23	QoQ % change	3Q22	YoY % change
Operating Revenues	57,069	56,296	1.4	75,392	(24.3)
Gross Profit	20,461	20,252	1.0	35,664	(42.6)
Operating Expenses	(5,722)	(5,718)	0.1	(6,794)	(15.8)
Net Other Operating Income and Expenses	573	1,141	(49.8)	1,287	(55.5)
Operating Income	15,312	15,675	(2.3)	30,157	(49.2)
Net Non-Operating Income and Expenses	3,336	2,810	18.7	2,189	52.5
Net Income Attributable to Shareholders of the Parent	15,971	15,641	2.1	26,996	(40.8)
EPS (NT$ per share)	1.29	1.27		2.19	
(US$ per ADS)	0.200	0.197		0.339	

Third quarter operating revenues slightly grew by 1.4% sequentially to NT$57.07 billion mainly lifted by a favorable exchange rate and a better product mix from wafer shipments. Revenue contribution from 40nm and below technologies increased to 45% of wafer revenue. Gross profit grew 1.0% QoQ to NT$20.46 billion, or 35.9% of revenue. Operating expenses remained flat QoQ to NT$5.72 billion. Net other operating income declined to NT$573 million. Net non-operating income reached NT$3.34 billion mainly reflecting the mark to market securities. Net income attributable to shareholders of the parent amounted to NT$15.97 billion.

Earnings per ordinary share for the quarter was NT$1.29. Earnings per ADS was US$0.200. The basic weighted average number of shares outstanding in 3Q23 was 12,371,129,866, compared with 12,348,986,144 shares in 2Q23 and 12,305,516,644 shares in 3Q22. The diluted weighted average number of shares outstanding was 12,566,773,628 in 3Q23, compared with 12,526,182,161 shares in 2Q23 and 12,635,661,561 shares in 3Q22. The fully diluted shares counted on September 30, 2023 were approximately 12,609,732,000.

Detailed Financials Section

Operating revenues grew slightly to NT$57.07 billion. COGS increased 1.6% to NT$36.61 billion. Gross profit grew 1.0% QoQ to NT$20.46 billion partly due to a better product mix. Operating expenses remained flat at NT$5.72 billion, as Sales & Marketing and G&A increased 2.7% and 0.9% respectively, while R&D declined 1.9% sequentially to NT$3.26 billion, representing 5.7% of revenue. Net other operating income was NT$573 million. In 3Q23, operating income decreased 2.3% QoQ to NT$15.31 billion.

COGS & Expenses

(Amount: NT$ million)	3Q23	2Q23	QoQ % change	3Q22	YoY % change
Operating Revenues	57,069	56,296	1.4	75,392	(24.3)
COGS	(36,608)	(36,044)	1.6	(39,728)	(7.9)
Depreciation	(8,485)	(8,467)	0.2	(9,622)	(11.8)
Other Mfg. Costs	(28,123)	(27,577)	2.0	(30,106)	(6.6)
Gross Profit	20,461	20,252	1.0	35,664	(42.6)
Gross Margin (%)	35.9%	36.0%		47.3%	
Operating Expenses	(5,722)	(5,718)	0.1	(6,794)	(15.8)
Sales & Marketing	(735)	(716)	2.7	(1,061)	(30.7)
G&A	(1,731)	(1,715)	0.9	(2,428)	(28.8)
R&D	(3,255)	(3,317)	(1.9)	(3,304)	(1.5)
Expected Credit Impairment gain (loss)	(1)	30	-	(1)	129.2
Net Other Operating Income & Expenses	573	1,141	(49.8)	1,287	(55.5)
Operating Income	15,312	15,675	(2.3)	30,157	(49.2)

Net non-operating income in 3Q23 increased to NT$3.34 billion, mainly from the NT$1.89 billion in net investment gain, the NT$0.62 billion in net interest income and the NT$0.51 billion in other gain.

Non-Operating Income and Expenses

(Amount: NT$ million)	3Q23	2Q23	3Q22
Non-Operating Income and Expenses	3,336	2,810	2,189
Net Interest Income and Expenses	617	974	139
Net Investment Gain and Loss	1,885	1,042	780
Exchange Gain and Loss	324	799	1,293
Other Gain and Loss	510	(5)	(23)

In 3Q23, cash inflow from operating activities was NT$19.06 billion. Cash outflow from investing activities amounted to NT$17.72 billion, which included NT$17.91 billion in capital expenditure, resulting in free cash inflow of NT$1.15 billion. Cash outflow from financing was NT$27.60 billion, primarily the NT$45.02 billion in cash dividend distribution and the NT$21.21 billion in other financial liabilities offset, the NT$21.37 billion in bank loans, the NT$10.00 billion in bond issuance and the NT$7.43 billion increase in deposits-in. Net cash outflow in 3Q23 totaled NT$22.46 billion. Over the next 12 months, the company expects to repay NT$2.15 billion in bank loans.

Cash Flow Summary

(Amount: NT$ million)	For the 3-Month Period Ended Sep. 30, 2023	For the 3-Month Period Ended Jun. 30, 2023
Cash Flow from Operating Activities	19,059	13,760
Net income before tax	18,648	18,485
Depreciation & Amortization	9,928	9,931
Share of profit of associates and joint ventures	(1,022)	(726)
Income tax paid	(1,216)	(11,845)
Changes in working capital & others	(7,279)	(2,085)
Cash Flow from Investing Activities	(17,720)	(23,667)
Acquisition of PP&E	(17,245)	(24,139)
Acquisition of intangible assets	(560)	(684)
Others	85	1,156
Cash Flow from Financing Activities	(27,602)	1,061
Bank loans	21,369	939
Bonds Issued	10,000	-
Increase in deposits-in	7,425	287
Decrease in other financial liabilities	(21,209)	-
Cash dividends	(45,018)	-
Others	(169)	(165)
Effect of Exchange Rate	3,808	109
Net Cash Flow	(22,455)	(8,737)
Beginning balance	163,097	171,834
Ending balance	140,642	163,097

Cash and cash equivalents decreased to NT$140.64 billion. Days of inventory increased by 4 days to 89 days.

Current Assets			
(Amount: NT$ billion)	3Q23	2Q23	3Q22
Cash and Cash Equivalents	140.64	163.10	180.65
Notes & Accounts Receivable	31.11	30.62	44.84
Days Sales Outstanding	49	47	53
Inventories, net	36.56	34.55	30.10
Days of Inventory	89	85	66
Total Current Assets	219.28	239.03	266.95

Current liabilities decreased to NT$92.07 billion. Long-term credit/bonds increased to NT$49.38 billion. Total liabilities declined to NT$197.26 billion, leading to a debt to equity ratio of 56%.

Liabilities			
(Amount: NT$ billion)	3Q23	2Q23	3Q22
Total Current Liabilities	92.07	142.98	108.01
Accounts Payable	8.37	8.83	10.04
Short-Term Credit / Bonds	30.07	11.59	12.19
Payables on Equipment	15.95	13.01	19.40
Dividends Payable	-	45.02	-
Other	37.68	64.53	66.38
Long-Term Credit / Bonds	49.38	36.06	46.15
Long-Term Investment Liabilities	-	-	4.26
Total Liabilities	197.26	226.31	204.21
Debt to Equity	56%	69%	65%

Analysis of Revenue[2]

Revenue from Asia-Pacific grew to 58% while business from North America remain unchanged at 27% of sales. Business from Europe stayed firm at 12% while contribution from Japan decreased to 3%.

Revenue Breakdown by Region

Region	3Q23	2Q23	1Q23	4Q22	3Q22
North America	27%	27%	31%	30%	23%
Asia Pacific	58%	56%	50%	54%	62%
Europe	12%	12%	11%	9%	9%
Japan	3%	5%	8%	7%	6%

Revenue contribution from 22/28nm grew to 32% of the wafer revenue, while 40nm contribution was 13% of sales.

Revenue Breakdown by Geometry

Geometry	3Q23	2Q23	1Q23	4Q22	3Q22
14nm and below	0%	0%	0%	0%	0%
14nm<x<=28nm	32%	29%	26%	28%	25%
28nm<x<=40nm	13%	12%	15%	17%	17%
40nm<x<=65nm	19%	23%	19%	17%	18%
65nm<x<=90nm	8%	10%	10%	9%	8%
90nm<x<=0.13um	12%	10%	12%	12%	12%
0.13um<x<=0.18um	9%	9%	10%	10%	10%
0.18um<x<=0.35um	5%	5%	6%	5%	8%
0.5um and above	2%	2%	2%	2%	2%

Revenue from fabless customers accounted for 79% of revenue.

Revenue Breakdown by Customer Type

Customer Type	3Q23	2Q23	1Q23	4Q22	3Q22
Fabless	79%	79%	77%	81%	83%
IDM	21%	21%	23%	19%	17%

Revenue from the communication segment accounted for 46%, while business from consumer represented 23%. Business from computing applications grew to 13% as other segments declined to 18% of revenue.

Revenue Breakdown by Application (1)

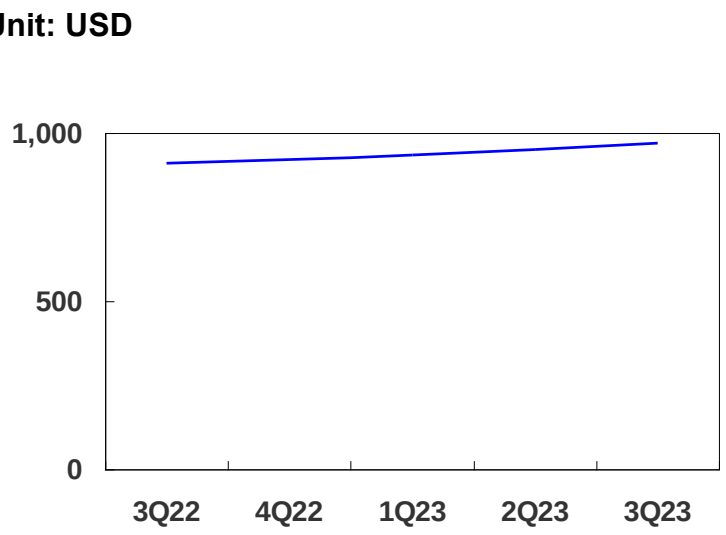
Application	3Q23	2Q23	1Q23	4Q22	3Q22
Computer	13%	9%	9%	12%	14%
Communication	46%	44%	44%	45%	45%
Consumer	23%	26%	24%	25%	27%
Others	18%	21%	23%	18%	14%

(1) ***Computer*** consists of ICs such as CPU, GPU, HDD controllers, DVD/CD-RW control ICs, PC chipset, audio codec, keyboard controller, monitor scaler, USB, I/O chipset, WLAN. ***Communication*** consists of handset components, broadband, bluetooth, Ethernet, LAN, DSP, etc. ***Consumer*** consists of ICs used for DVD players, DTV, STB, MP3/MP4, flash controller, game consoles, DSC, smart cards, toys, etc.

[2] Revenue in this section represents wafer sales

Blended ASP Trend

Blended average selling price (ASP) grew slightly in 3Q23.



Shipment and Utilization Rate[3]

Wafer shipments declined by 2.3% QoQ to 1,788K in the third quarter, while quarterly capacity was 2,659K. Overall utilization rate in 3Q23 was 67%.

Wafer Shipments

	3Q23	2Q23	1Q23	4Q22	3Q22
Wafer Shipments (8" K equivalents)	1,788	1,831	1,826	2,213	2,597

Quarterly Capacity Utilization Rate

	3Q23	2Q23	1Q23	4Q22	3Q22
Utilization Rate	67%	71%	70%	90%	100%+
Total Capacity (8" K equivalents)	2,659	2,626	2,522	2,543	2,539

[3] Utilization Rate = Quarterly Wafer Out / Quarterly Capacity

Capacity[4]

Total capacity in the third quarter increased to 2,659K 8-inch equivalent wafers. Capacity will grow in the fourth quarter of 2023 to 2,710K 8-inch equivalent wafers, primarily reflecting the 22/28nm capacity expansion at 12A Phase 6.

Annual Capacity in *thousands of wafers*

FAB		Geometry (um)	2022	2021	2020	2019
WTK	6"	5 – 0.15	335	329	371	370
8A	8"	3 – 0.11	765	755	802	825
8C	8"	0.35 – 0.11	459	459	452	436
8D	8"	0.18 – 0.09	410	380	371	359
8E	8"	0.6 – 0.14	469	457	449	426
8F	8"	0.18 – 0.11	550	514	485	434
8S	8"	0.18 – 0.11	443	408	373	372
8N	8"	0.5 – 0.11	952	917	917	831
12A	12"	0.13 – 0.014	1,170	1,070	1,044	997
12i	12"	0.13 – 0.040	655	641	628	595
12X	12"	0.080 – 0.022	314	284	217	203
12M	12"	0.13 – 0.040	436	395	391	98
Total[(1)]			10,031	9,453	9,188	8,148
YoY Growth Rate			6%	3%	13%	6%

Quarterly Capacity in *thousands of wafers*

FAB		4Q23E	3Q23	2Q23	1Q23
WTK	6"	83	83	82	80
8A	8"	207	207	207	189
8C	8"	119	120	120	113
8D	8"	118	111	109	101
8E	8"	131	122	122	116
8F	8"	145	145	145	136
8S	8"	114	112	112	109
8N	8"	254	250	248	244
12A	12"	346	333	321	305
12i	12"	164	164	164	162
12X	12"	80	80	80	78
12M	12"	110	110	110	108
Total		**2,710**	**2,659**	**2,626**	**2,522**

[(1)] One 6-inch wafer is converted into 0.5625 ($6^2/8^2$) 8-inch equivalent wafer; one 12-inch wafer is converted into 2.25 ($12^2/8^2$) 8-inch equivalent wafers. Total capacity figures are expressed in 8-inch equivalent wafers.

CAPEX

CAPEX spending in 3Q23 totaled US$0.57 billion, as total expenditure year to date reached US$2.4 billion. 2023 cash-based CAPEX budget will be US$3.0 billion.

Capital Expenditure by Year - in US$ billion

Year	2022	2021	2020	2019	2018
CAPEX	$ 2.7	$ 1.8	$ 1.0	$ 0.6	$ 0.7

2023 CAPEX Plan

8"	12"	Total
10%	90%	US$3.0 billion

[4] Estimated capacity numbers are based on *calculated maximum output* rather than *designed capacity*. The actual capacity numbers may differ depending upon equipment delivery schedules, pace of migration to more advanced process technologies, and other factors affecting production ramp-up.

Fourth Quarter 2023 Outlook & Guidance

Quarter-over-Quarter Guidance:

- Wafer Shipments: Will decline by approximately 5%
- ASP in USD: Will remain flat
- Gross Profit Margin: Will be in the low-30% range
- Capacity Utilization: low-60% range
- 2023 CAPEX: US$3.0 billion

Recent Developments / Announcements

Aug. 17, 2023 Faraday Announces Infineon's SONOS eFlash Qualified on UMC's 40nm ULP Process

Please visit UMC's website for further details regarding the above announcements

Conference Call / Webcast Announcement

Wednesday, October 25, 2023

Time: 5:00 PM (Taipei) / 5:00 AM (New York) / 10:00 AM (London)

Dial-in numbers and Access Codes:

Taiwan Number:	02 3396 1191
Taiwan Toll Free:	0080 185 4007
USA Toll Free:	+1 866 212 5567
Other Areas:	+886 2 3396 1191
Access Code:	9517025#

A live webcast and replay of the 3Q23 results announcement will be available at www.umc.com under the “Investors / Events” section.

About UMC

UMC (NYSE: UMC, TWSE: 2303) is a leading global semiconductor foundry company. The company provides high quality IC fabrication services, focusing on logic and various specialty technologies to serve all major sectors of the electronics industry. UMC’s comprehensive IC processing technologies and manufacturing solutions include logic/mixed-signal, embedded high-voltage, embedded non-volatile-memory, RFSOI and BCD. UMC has total 12 fabs in production with combined capacity of more than 850,000 8-inch equivalent wafers per month, and all of them are certified with IATF 16949 automotive quality standard. Most of UMC's 12-inch and 8-inch fabs with its core R&D are located in Taiwan, with additional ones throughout Asia. UMC is headquartered in Hsinchu, Taiwan, plus local offices in China, United States, Europe, Japan, Korea and Singapore, with worldwide total 20,000 employees. For more information, please visit: https://www.umc.com.

Safe Harbor Statements

This press release contains forward-looking statements within the meaning of Section 27A of the United States Securities Act of 1933, as amended, and Section 21E of the United States Securities Exchange Act of 1934, as amended, and as defined in the United States Private Securities Litigation Reform Act of 1995. These forward-looking statements include, but are not limited to, statements regarding anticipated financial results for the third quarter of 2023; the expected wafer shipment and ASP; the anticipated annual budget; capex strategies; environmental protection goals and water management strategies; impact of foreign currency exchange rates; expected foundry capacities; the ability to obtain new business opportunities; and information under the heading "Fourth Quarter of 2023 Outlook and Guidance."

These forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause the actual performance, financial condition or results of operations of UMC to be materially different from what is stated or may be implied in such forward-looking statements. Investors are cautioned that actual events and results could differ materially from those statements as a result of a number of factors including, but not limited to: (i) dependence upon the frequent introduction of new services and technologies based on the latest developments in the industry in which UMC operates; (ii) the intensely competitive semiconductor, communications, consumer electronics and computer industries and markets; (iii) the risks associated with international business activities; (iv) dependence upon key personnel; (v) general economic and political conditions; (vi) possible disruptions in commercial activities caused by natural and human-induced events and disasters, including natural disasters, terrorist activity, armed conflict and highly contagious diseases; (vii) reduced end-user purchases relative to expectations and orders; and (viii) fluctuations in foreign currency exchange rates. Further information regarding these and other risk factors is included in UMC's filings with the United States Securities and Exchange Commission, including its Annual Report on Form 20-F. All information provided in this release is as of the date of this release and are based on assumptions that UMC believes to be reasonable as of this date, and UMC does not undertake any obligation to update any forward-looking statement as a result of new information, future events or otherwise, except as required under applicable law.

The financial statements included in this release are prepared and published in accordance with Taiwan International Financial Reporting Standards, or TIFRSs, recognized by the Financial Supervisory Commission in the ROC, which is different from International Financial Reporting Standards, or IFRSs, issued by the International Accounting Standards Board. Investors are cautioned that there may be significant differences between TIFRSs and IFRSs. In addition, TIFRSs and IFRSs differ in certain significant respects from generally accepted accounting principles in the ROC and generally accepted accounting principles in the United States.

- FINANCIAL TABLES TO FOLLOW -